



Growing Prosperity, One Cup at a Time



SHRI MUNINDRA KUMAR

**DIRECTOR GENERAL, CHAMBER OF
COMMERCE AND INDUSTRIES OF INDIA**

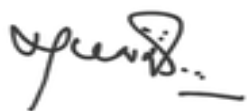


MESSAGE

The tea industry is one of the cornerstones of India's agricultural economy, contributing significantly to employment generation, rural livelihoods, exports, and sustainable economic development. Renowned globally for its rich diversity and exceptional quality, Indian tea represents not only a vital agricultural commodity but also an integral part of the nation's cultural heritage and global identity. As consumer preferences evolve and international markets become increasingly competitive, the industry must embrace innovation, sustainability, value addition, and stronger market linkages to ensure long-term growth and resilience.

The Chamber of Commerce and Industries of India (CCI India) recognize the immense potential of India's tea sector in driving inclusive economic growth, enhancing global competitiveness, and creating opportunities across the entire value chain from tea growers and smallholders to processors, manufacturers, exporters, retailers, and tourism enterprises. Through policy advocacy, industry research, stakeholder engagement, business facilitation, trade promotion, capacity building, and international collaborations, CCI India remains committed to supporting the sustainable development and global positioning of the Indian tea industry.

The publication is intended to serve as a valuable resource for policymakers, tea growers, plantation owners, manufacturers, exporters, entrepreneurs, researchers, academic institutions, financial institutions, investors, industry associations, and other stakeholders engaged in the development of India's tea sector. By fostering informed dialogue, strategic partnerships, and collaborative action, this Knowledge Paper seeks to contribute to building a resilient, innovative, and globally competitive tea industry that continues to strengthen India's economic growth and international reputation.



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SECTION:1. INDIA'S TEA ECONOMY

Importance of Tea in India's Economy

Tea occupies a unique place in India's economic and cultural life. It forms one of the country's oldest organised agro-industrial sectors, linking remote hill and forest tracts to global consumer markets through an unbroken chain of cultivation, processing, branding and trade. India is the world's second-largest tea producer and among its top exporters. For millions of smallholders, plantation workers, traders and entrepreneurs, tea is not simply a crop; it is a livelihood, an identity and, increasingly, an instrument of rural transformation.

Beyond its commercial value, tea carries a soft-power dimension for India. Darjeeling tea is recognised the world over as a marker of Indian craftsmanship and terroir. As global consumption patterns shift toward provenance, sustainability and specialty products, India's tea sector is well placed to capture greater value, provided it can modernise its production base, strengthen its institutions, and tell its story more effectively to domestic and international consumers alike.

Contribution to GDP

Tea contributes a meaningful share of India's agricultural GDP and a disproportionately large share of agricultural exports relative to the land area under cultivation. India produced roughly 1,370 million kg of tea in recent crop years, translating into billions of rupees of export earnings and several times that in domestic retail value once processing, branding, packaging, hospitality and retail margins are considered. The multiplier effect of the sector is significant: every kilogram of green leaf that leaves an estate touches transport, warehousing, auction houses, processing units, blending and packaging facilities, marketing agencies, retail chains and, increasingly, café and tourism businesses before it reaches a final consumer.

As India's overall economy diversifies, the relative share of primary commodities like tea in national GDP has declined, but its importance to specific regional economies Assam, West Bengal's hill districts, the Nilgiris and others remains outsized. In these geographies, tea is often the single largest organised employer and the principal driver of local commerce.

Employment Generation

Few crops in India generate as much direct, formal employment per hectare as tea. The tea industry alone employs over a million workers directly on estates, with several million more engaged indirectly in transport, packaging, blending, retail and export logistics.

This scale of employment is precisely why the sector demands sustained policy attention: a downturn in tea prices does not merely affect a commodity market, it directly touches the incomes of some of India's most geographically remote and economically vulnerable communities.

Role in Rural Livelihoods

Tea cultivation is fundamentally a rural, often hill and forest-fringe, activity. Plantations anchor entire local economies providing not just wages but housing, schooling, healthcare and community infrastructure in areas where the state's own reach is often thin. Smallholder tea growers, who now account for a large and growing share of national output, represent a parallel economy of family farms that supplement estate production and diversify rural income sources beyond staple agriculture.

Women Workforce

Tea plantations are among the largest formal employers of women in rural India, with women workers reported to account for well over half of the tea workforce, concentrated in plucking and quality-sorting operations that require skill and dexterity built over years of experience. This concentration of women's employment gives the sector a distinctive social role: wages earned on tea estates often represent primary or co-equal household income, and initiatives that improve women's working conditions, safety, skill certification and access to leadership roles in cooperatives and FPOs have an outsized impact on rural gender equity.

MSMEs and Plantation Economy

Alongside large integrated estates, India's tea landscape is increasingly shaped by small and medium enterprises bought-leaf factories, specialty packers and export houses that add processing capacity and market flexibility without owning large tracts of land. This MSME layer is critical to absorbing the output of small growers, who often lack their own processing infrastructure, and to injecting innovation, design and branding energy into a sector historically dominated by commodity trading.

Export Significance

India exported tea worth roughly Rs 8,500 crore in calendar year 2025 on record volumes of around 280 million kg, with the Middle East, CIS countries and, increasingly, China as major destinations. Tea remains among India's most consistent agricultural export earners, offering a hedge against volatility in other commodity categories and reinforcing India's position in the global beverage trade.

Emerging Domestic Consumption

Domestic consumption dwarfs' exports for tea, with roughly 80 percent of production consumed within the country. The continued vitality of India's chai culture spanning traditional retail, modern tea lounges and ready-to-drink formats remains one of the more stable long-term demand drivers for the sector, even as producers look to premiumisation and export diversification for incremental growth.

Why the Tea Sector Matters to India

The sector's importance to India rests on four pillars: it sustains rural livelihoods at a scale few other cash crops match; it generates valuable foreign exchange; it anchors regional economies in ecologically sensitive hill regions where alternative livelihoods are limited; and it carries cultural and diplomatic significance disproportionate to its share of GDP. Any strategy for inclusive rural growth, women's economic empowerment or export diversification in India must reckon seriously with tea.

CCI India Perspective

For CCI India, opportunity lies in positioning India through targeted interventions in productivity, quality, branding, market access and tourism as a leading global source of premium, sustainably produced tea. This report sets out the landscape, the institutions, the challenges and the specific role CCI India can play in realising that ambition.

1.1. India's Tea Growing Regions

This profiles India's principal tea-growing states, covering geography and climate, tea varieties, production and employment, contribution to the local economy, tourism potential, key challenges, and recommended CCI India interventions for each region.

Assam

Assam is India's leading tea-producing state, contributing over 50% of the country's tea output. Its favorable climate and fertile valleys produce the world-famous strong, malty Assam tea, while the sector is a major source of employment and the backbone of the state's rural economy. Despite its strengths, the industry faces challenges such as ageing tea bushes, climate-related rainfall variability, rising labour costs, and low profit margins.

CCI India can play a significant role in strengthening Assam's tea sector by:

- Financing replantation of ageing tea bushes to improve long-term productivity and quality.
- Supporting factory modernisation through investments in energy-efficient machinery, automation, and better processing technology.
- Promoting wage-linked productivity programmes that improve worker welfare while increasing operational efficiency.
- Developing tea tourism by partnering with the state tourism board to create integrated tourism circuits featuring heritage tea estates, factory visits, and Brahmaputra river experiences.
- Facilitating value addition and market expansion by encouraging specialty and orthodox tea production, branding, and exports to improve price realisation.

West Bengal

West Bengal is home to three major tea-growing regions **Darjeeling**, **Dooars**, and **Terai**. While Darjeeling is globally renowned for its premium GI-protected orthodox tea, Dooars and Terai are key producers of full-bodied CTC tea and provide large-scale employment. The sector faces challenges including ageing tea bushes, labour shortages, rising costs, and declining productivity.

CCI India can support the growth and sustainability of West Bengal's tea industry:

- Financing bush replantation to improve yields and tea quality across all tea-growing regions.
- Supporting estate and factory modernisation to enhance efficiency and reduce production costs.
- Strengthening GI enforcement to prevent the international sale of mislabelled “Darjeeling” tea, protecting the brand's reputation and value.
- Promoting tea tourism by investing in estate tourism infrastructure, heritage stays, tea-tasting experiences, and integrated tourism circuits in partnership with the state tourism board.

Tripura

Tripura is a growing tea-producing state where tea cultivation is driven mainly by small growers and cooperative-linked factories. The sector provides an important source of income and employment, helping diversify rural livelihoods beyond agriculture and rubber cultivation. However, the industry faces challenges such as limited processing facilities, poor market connectivity, and restricted access to finance.

CCI India can support Tripura's tea sector by:

- Financing common processing facilities for small-grower clusters to improve tea quality and reduce production costs.
- Improving market access by linking Tripura's tea to national auction platforms and export markets.
- Providing affordable finance to small tea growers for plantation development, modern equipment, and quality enhancement.
- Supporting value addition and branding to increase competitiveness and improve price realisation.
- Strengthening supply chain infrastructure to reduce logistics costs and improve market connectivity.

Arunachal Pradesh

Arunachal Pradesh is an emerging tea-producing state with cultivation concentrated in the foothill districts bordering Assam. Its favourable climate and soil make it well suited for **organic tea production**, offering the opportunity to develop a premium, chemical-free tea brand. The sector is creating new livelihood opportunities for hill communities, though it remains at an early stage of development.

CCI India can support Arunachal Pradesh's tea sector by:

- Financing decentralised micro-processing units to reduce dependence on distant factories and improve tea quality.
- Promoting Arunachal's organic tea as a premium, distinct origin in domestic and international markets.
- Providing financial support for organic certification, plantation expansion, and modern cultivation practices.
- Improving market linkages and branding to increase recognition and secure better prices for growers.
- Supporting infrastructure development, particularly logistics and supply chains, to overcome connectivity challenges.

Meghalaya

Meghalaya produces high-quality orthodox and organic tea, with cultivation largely undertaken by smallholders under community land tenure systems. Although production is modest, the state has strong potential in the growing specialty and single-origin tea market. Key constraints include fragmented landholdings, limited processing infrastructure, and market access challenges due to its hilly terrain.

CCI India can support Meghalaya's tea sector by:

- Financing community-owned and decentralised processing units to improve quality and reduce processing constraints.
- Supporting branding and certification to position Meghalaya tea as a premium specialty and single-origin product.
- Strengthening market linkages to help smallholders access high-value domestic and international markets.
- Promoting value addition through improved processing, packaging, and marketing initiatives.
- Encouraging cooperative models that enhance smallholder participation, bargaining power, and sustainable community-led growth.

Nagaland

Nagaland's tea sector is small but has growing potential, with cultivation primarily undertaken by tribal smallholder communities as a sustainable alternative to shifting (jhum) cultivation. Rising interest in organic and specialty tea presents opportunities for market expansion, although the sector faces challenges related to limited processing infrastructure and weak market linkages.

CCI India can support Nagaland's tea sector by:

- Financing decentralised processing units to improve tea quality and reduce post-harvest constraints.
- Strengthening extension services and promoting modern, sustainable cultivation practices.

- Supporting branding and marketing of Naga tea as a premium organic and North-East origin product.
- Improving market linkages to enhance access to domestic and international specialty tea markets.
- Promoting tea tourism by integrating tea gardens into North-East cultural and eco-tourism circuits.

Mizoram

Mizoram's tea sector is at a nascent stage, with cultivation promoted as a sustainable alternative to shifting (jhum) cultivation. The state has favourable agro-climatic conditions for organic and specialty tea, but growth is constrained by limited processing infrastructure and low production volumes.

CCI India can support Mizoram's tea sector by:

- Financing pilot and decentralised processing units to build local value addition capacity.
- Providing technical extension services and training on modern cultivation and processing practices.
- Supporting organic certification and the development of specialty tea products.
- Strengthening market linkages and branding to improve market access and grower returns.
- Assisting plantation expansion and infrastructure development to support the sector's long-term growth.

Sikkim

Sikkim produces small volumes of premium organic orthodox tea and has established a strong reputation through its quality-focused, sustainability-led approach. Despite limited scope for expansion, the state's tea sector benefits from high-value branding and strong tourism potential.

CCI India can support Sikkim's tea sector by:

- Promoting Sikkim's premium organic tea as a benchmark for quality and sustainability in domestic and international markets.
- Strengthening tea tourism by integrating tea estates with the state's established tourism sector.
- Supporting value addition through branding, packaging, and premium market development.
- Facilitating knowledge sharing and best practices in organic tea cultivation and certification.
- Replicating Sikkim's successful premium organic tea and tourism model in other suitable Himalayan tea-growing regions.

Uttarakhand

Uttarakhand produces modest volumes of orthodox tea with a strong focus on organic and specialty production. Tea cultivation provides an important source of income diversification for hill farmers and has significant untapped potential for integration with the state's well-established tourism sector.

CCI India can support Uttarakhand's tea sector by:

- Supporting the revival and modernization of tea estates to improve productivity and quality.
- Financing quality certification and organic branding to enhance market competitiveness.
- Strengthening value addition through improved processing, packaging, and marketing initiatives.
- Collaborating with the state tourism department to develop tea-tourism circuits and experiential tourism.
- Improving market linkages to expand access to premium domestic and international specialty tea markets.

Himachal Pradesh

Himachal Pradesh's Kangra tea is a premium GI-tagged orthodox tea with significant heritage value and strong potential in the specialty tea market. However, the sector has experienced a long-term decline due to ageing tea bushes, fragmented landholdings, and inadequate processing infrastructure.

CCI India can support Himachal Pradesh's tea sector by:

- Financing the replanting and rejuvenation of ageing tea plantations to restore productivity.
- Supporting modernization of processing facilities to improve quality and value addition.
- Promoting GI-based branding and marketing to strengthen the premium identity of Kangra tea.
- Collaborating with the tourism department to develop tea-tourism experiences linked to Himachal's hill tourism circuits.
- Strengthening market linkages to expand access to high-value domestic and international specialty tea markets.

Tamil Nadu

Tamil Nadu's Nilgiris region is one of India's tea-producing areas, known for high-quality orthodox and CTC teas. The sector supports a large workforce of smallholders and estate labour and has strong potential for tea tourism due to its well-established hill destinations and tea estate heritage. However, the industry faces challenges from price volatility, rising labour costs, and climate variability.

CCI India can support Tamil Nadu's tea sector by:

- Financing quality upgradation and modernization of tea processing infrastructure.
- Promoting Nilgiris GI tea through branding and premium market development.
- Supporting value addition through specialty tea production, packaging, and certification.
- Collaborating with the tourism department to develop integrated tea-tourism experiences, including estate visits, factory tours, and tea tasting trails.
- Strengthening market linkages to improve access to high-value domestic and international markets.

Kerala

Kerala's tea sector, concentrated in the high ranges of Idukki and Wayanad, produces both CTC and specialty orthodox teas. The industry supports significant local employment and has strong potential for integrated plantation tourism due to its proximity to coffee, spice plantations, and eco-tourism destinations. However, the sector faces challenges from labour shortages, human-wildlife conflict, and climate-related production risks.

CCI India can support Kerala's tea sector by:

- Financing climate-resilient replanting and sustainable plantation management practices.
- Promoting integrated plantation-tourism circuits linking tea, coffee, spices, and eco-tourism.
- Strengthening cooperative and Farmer Producer Organization (FPO)-led marketing to improve producer incomes.
- Supporting value addition through quality improvement, branding, and specialty tea promotion.
- Enhancing market linkages and processing infrastructure to increase competitiveness in premium tea markets.

1.2. Tea Production Ecosystem

Tea cultivation begins in specialised nurseries where vegetatively propagated clonal saplings are raised for 12 to 18 months before field planting, a stage critical to ensuring disease resistance and yield potential in the mature bush. Plantation development follows contour-based terracing on hill slopes to control soil erosion, with bush spacing and pruning cycles carefully managed to sustain decades of productive life from a single planting. Soil health in most tea tracts has degraded over generations of intensive cultivation, making soil testing, organic matter replenishment and balanced fertilisation central to any productivity revival strategy. Irrigation, historically rainfall-dependent, is becoming more important as rainfall patterns grow erratic, with drip and sprinkler systems slowly being introduced in drought-prone tracts.

Labour remains the single largest input cost in tea, with plucking still overwhelmingly manual due to the skill required to select the correct two-leaves-and-a-bud standard; mechanical and hybrid hand-held pluckers are being piloted in flatter estates to address labour shortages, though quality trade-offs remain a concern for premium tea. Organic and sustainable farming is expanding, driven both by export market demand and by rising input costs, though certification costs remain a barrier for smallholders. Climate resilience through shade-tree planting, mulching and drought-tolerant clonal selection and early-stage AI and smart-farming applications, including satellite-based crop health monitoring and weather-linked pest advisories represent the frontier of production-side innovation in Indian tea.

CCI India Support

CCI India can accelerate production-side transformation by financing nursery modernisation and clonal upgradation programmes, subsidising drip irrigation and soil-testing infrastructure for smallholder clusters, supporting mechanisation pilots calibrated to quality requirements, and building a shared digital extension platform that brings satellite advisories, weather alerts and market information to small tea growers who currently rely on informal information networks.

1.3. Tea Processing Ecosystem

Tea Processing

Tea processing follows a well-defined sequence: withering to reduce moisture and soften the leaf; rolling or CTC (crush-tear-curl) cutting to rupture cell walls and initiate oxidation; fermentation, where enzymatic oxidation develops the tea's characteristic colour and flavour compounds; drying to arrest fermentation and stabilise the product; and grading, which sorts the finished tea into the various leaf and dust grades that determine market value. Packaging has evolved from bulk chests to a wide range of consumer formats loose leaf, tea bags, pyramid sachets and ready-to-drink formats reflecting shifting consumption patterns.

Ageing factory machinery, inconsistent power supply in remote tea tracts, and the capital intensity of upgrading CTC and orthodox processing lines remain persistent constraints, particularly for small bought-leaf factories serving clusters of small growers.

Technology, Food Safety and Quality Standards

The sector faces rising expectations around food safety compliance (FSSAI standards), pesticide residue limits for export markets, and traceability requirements from international buyers. Digital batch-tracking, moisture and quality sensors, and automated sorting technology are gradually being adopted by larger processors, but remain largely inaccessible to small and cooperative-scale units.

CCI India Perspective

CCI India can support shared processing infrastructure for small-grower clusters, financing for factory modernisation and energy efficiency (including solar-powered drying and processing units), technical training in fermentation science, and assistance in achieving international food-safety and quality certifications that unlock premium export markets.

1.4. Tea Supply Chain Ecosystem

The Complete Value Chain

India's tea moves through a long value chain: from farmer or estate, produce may pass to an FPO or directly to a processor; processed tea is stored in warehouses before reaching auction centres (principally Guwahati, Kolkata, Siliguri and Coimbatore) or direct exporter relationships; from there it moves to importers abroad or domestic distributors, then wholesalers, retailers, and finally the consumer. Each link in this chain adds cost, time and, when well managed, value but each is also a potential point of leakage, delay or price distortion that reduces the share of final value reaching the farmer.

Warehousing, Logistics and Cold Chain

Warehousing quality varies widely, from modern climate-controlled facilities near major ports to informal storage in remote tea tracts, where humidity and pest exposure can degrade quality before produce ever reaches a processor. Logistics from hill and forest-fringe growing areas to processing and auction centres is often the single largest hidden cost for small growers, particularly in the North East, where road infrastructure remains poor. While tea is not as cold-chain-dependent as perishable horticulture, temperature and humidity control during storage and transport materially affects shelf life and cup quality, particularly for green tea.

Digital Supply Chains, E-commerce and Quick Commerce

Digital marketplaces and direct-to-consumer e-commerce have opened new channels for specialty tea brands to reach urban consumers without traditional distributor layers, improving margins for well-positioned small producers and D2C brands alike. Quick commerce platforms are increasingly stocking packaged tea for immediate delivery in metro markets, reshaping retail dynamics and demanding tighter, more responsive supply chains from brands seeking shelf presence on these platforms.

CCI India Interventions

CCI India can support investment in rural collection and storage infrastructure near production clusters, facilitate digital auction and traceability platforms that give small growers better price visibility, and help small and emerging brands access e-commerce and quick-commerce channels through onboarding support, logistics partnerships and working-capital facilitation.

1.5. Indian Tea Industry

Major Companies and Manufacturing

India's branded tea market is led by Tata Consumer Products the world's second-largest tea manufacturer and distributor, with brands spanning Tata Tea, Tetley and Good Earth and Hindustan Unilever, whose Brooke Bond and Lipton portfolio carries deep heritage and distribution reach across urban and rural India alike. Regional champions such as Wagh Bakri Tea Group, Girnar Tea and Society Tea command strong loyalty in their home markets, while plantation companies including Goodricke Group, McLeod Russel, Jay Shree Tea, Dhunseri Tea and Assam Company India Limited anchor large-scale cultivation and bulk manufacturing, particularly across Assam and West Bengal.

Private Labels and Emerging Brands

Alongside these established players, a wave of specialty and direct-to-consumer brands including organic and wellness-focused labels and boutique single-estate tea houses has emerged to serve increasingly discerning urban consumers seeking traceability, provenance and health-oriented positioning. Private label tea has also grown through modern retail and quick-commerce channels, giving retailers and platforms new leverage in a historically brand-led category.

Exports, Innovation and Branding

Export-oriented branding continues to lean on India's globally recognised origins Darjeeling, Assam and Nilgiri marketed as premium, terroir-driven products in a way few other exporting nations can replicate. Product innovation is increasingly concentrated in convenience and wellness formats: ready-to-drink tea, cold brew, functional and herbal infusions, and premium tea-bag formats such as pyramid sachets. Sustainability claims fair trade sourcing, rainforest and organic certification, and carbon-conscious packaging are becoming standard expectations in export markets and a differentiator in premium domestic segments.

Challenges

The industry contends with rising input and labour costs that have outpaced auction price realisation in several recent years, ageing bush stock requiring capital-intensive replanting, climate variability affecting both yield and quality, and growing import competition, particularly from Nepal, in categories where domestic prices are under pressure. Consolidation among smaller plantation companies, several of which have faced financial distress, adds further uncertainty to the sector's organised estate segment.

Future Opportunities

Opportunities lie in premiumisation and value-added export, expansion of the wellness and functional tea category, growth of e-commerce and quick-commerce as direct retail channels, and diversification of export markets beyond traditional destinations toward South America, Africa and continued growth in the Middle East and China.

CCI India Support

CCI India can facilitate replanting and modernisation finance for stressed plantation companies, support brand-building and export marketing for small and specialty tea producers who lack the marketing budgets of large FMCG players, and help negotiate stronger GI protections against mislabelled exports in international markets.

1.6. Rise of Tea Lounges & Plantation Tourism

Tea Lounges

A premium tea culture is emerging in urban India: dedicated tea lounges offering curated single-estate teas, tea-tasting flights akin to wine tastings, and heritage tea experiences that narrate the story of Darjeeling, Assam or Nilgiri origins to increasingly curious urban consumers. These formats remain nascent compared to the café boom built around coffee but represent a significant untapped opportunity, particularly given India's far larger base of tea drinkers.

Eco-Tourism: Estates, Estate Stays and Farm Tourism

Plantation tourism has grown from a niche offering into a meaningful revenue stream for many tea estates, particularly in Darjeeling, the Nilgiris, Assam and parts of Kerala. Estate stays and homestays allow visitors to experience plantation life directly, while structured farm tourism programmes tea tasting, guided plantation walks, and pre- and post-harvest processing demonstrations convert everyday agricultural operations into memorable visitor experiences.

Women-Led Tourism and Local Handicrafts

Several plantation tourism initiatives have created new income and leadership opportunities for women, from women-run homestays and guiding services to cooperatives producing and selling local handicrafts and preserves alongside tea tourism offerings. These initiatives strengthen the broader case for tourism as a vehicle for inclusive rural economic development, not just visitor revenue.

How CCI India Can Support

CCI India's role spans investment promotion for estate-tourism infrastructure; formal tourism-industry partnerships and hospitality tie-ups to bring professional standards and distribution to plantation stays; coordinated branding of India's tea tourism circuits for international travellers; skill development programmes for hospitality, guiding and craft-based livelihoods in plantation communities; global promotion through international tourism and trade platforms; digital marketing support tailored to small estate operators who lack in-house marketing capacity; and start-up support for new hospitality and experience-design ventures built around plantation tourism.

1.7. Tea Board of India

Established under the Tea Act, 1953, the Tea Board of India is the statutory apex body for the tea sector, functioning under the Ministry of Commerce and Industry with its head office in Kolkata and regional and overseas offices across major producing states and key markets abroad. Its core functions include rendering financial and technical assistance for cultivation, manufacture and marketing; regulating the auction system and licensing of exporters and traders; aiding tea research and development; supporting small growers financially and technically; and administering GI certification, including for Darjeeling tea. Its flagship Tea Development and Promotion Scheme, running through 2025-26 with an outlay exceeding Rs 660 crore, funds plantation development, quality upgradation, market promotion, technological intervention, research, and worker welfare in a 'field-to-cup' approach, alongside dedicated organic, replantation and export-promotion schemes.

Scope of Collaboration with CCI India

While the Tea Board of India possesses extensive technical expertise, research capabilities, regulatory authority, and experience in implementing government development schemes, its activities are necessarily constrained by public-sector budgets, statutory mandates, and administrative processes. Its primary focus remains on regulation, research, quality assurance, certification, extension services, and sector development.

CCI India can complement, rather than duplicate, these functions by acting as a strategic implementation and ecosystem development partner. It can mobilise private investment, CSR funding, philanthropic capital, and impact finance to supplement government programmes and accelerate sector-wide development. CCI India can also undertake market-oriented initiatives that fall beyond the traditional mandate of the Board, including destination branding, domestic and international marketing, e-commerce enablement, tourism development, startup incubation, entrepreneurship support, and value-chain innovation.

In addition, CCI India can serve as a collaborative platform that brings together government agencies, growers, Farmer Producer Organisations (FPOs), processors, exporters, hospitality and tourism operators, technology providers, financial institutions, research organisations, and private enterprises. By facilitating partnerships, coordinating multi-stakeholder initiatives, and supporting integrated project implementation, CCI India can strengthen the tea ecosystem, improve market competitiveness, attract greater investment, and accelerate sustainable sector growth while leveraging the technical and regulatory strengths of the Tea Board of India.

1.8. Eco-Tourism: The Standout Opportunity

This is arguably where CCI India can create the most distinctive, high-visibility value, because it sits at the intersection of things the Tea Board is not resourced to do (hospitality standards, tourism marketing, startup incubation) and things the private sector alone struggles to coordinate (national branding, cross-state circuits).

Why it matters: Plantation tourism has already grown organically into a meaningful revenue stream in Darjeeling, the Nilgiris and parts of Assam and Kerala but it remains fragmented, with inconsistent visitor experience and no coordinated national identity.

Where CCI India can specifically intervene:

- **Infrastructure & Investment Promotion:** Channel investment into estate-tourism infrastructure (homestays, visitor centers, trails) in partnership with state tourism boards
- **Hospitality Standards & Tie-Ups:** Formal partnerships with hospitality brands to bring professional service standards and distribution reach to small estate stays that currently lack marketing capacity
- **National Circuit Branding:** Build a unified “plantation tourism circuit” brand spanning Darjeeling’s toy-train-and-tea-estate trail, the Nilgiris’ factory-visit-and-tasting trails, and Assam’s riverside estate experiences.
- **Skill Development:** Train local communities in guiding, hospitality, and craft-based livelihoods so tourism revenue stays local rather than flowing to outside operators.
- **Women-Led Tourism:** Specifically support women-run homestays, guiding services, and handicraft cooperatives that have already emerged around plantation tourism this reinforces the sector’s broader gender-equity potential.
- **Digital Marketing for Small Operators:** Most estate owners running homestays don’t have in-house marketing; CCI-backed digital promotion and global platform presence (international tourism/trade platforms) would fill this gap directly.
- **Start-up Support:** Incubate new hospitality and experience-design ventures built specifically around plantation tourism tasting flights, agro-tourism apps, and similar formats.
- **Sustainability as a Selling Point:** Support estates in adopting waste management, water conservation, and community benefit-sharing practices, which are increasingly what responsible-travel consumers are looking for turning sustainability into a marketing asset, not just a compliance cost.

1.9 Key Challenges Across India's Tea Sector

Climate Change

Erratic monsoons, prolonged dry spells and unseasonal rainfall are already disrupting flowering, plucking cycles and yields across tea tracts, with Assam's early-2026 rainfall deficit and its effect on production offering a recent illustration.

CCI India's Recommended Intervention: fund climate-resilient variety development, drip-irrigation subsidies, and a climate-risk insurance product tailored to plantation crops.

Labour Shortages

Outmigration from tea growing regions, combined with the physically demanding and seasonally concentrated nature of harvest work, has produced persistent labour shortages, particularly during peak plucking windows.

CCI India's Recommended Intervention: support calibrated mechanisation pilots that preserve quality, alongside skill-and-wage initiatives that make plantation work more attractive to local youth.

Productivity

Yields per hectare in many Indian tea tracts lag global benchmarks, owing to ageing bushes, inconsistent soil management and limited precision-agriculture adoption among smallholders.

CCI India's Recommended Intervention: finance replanting and rejuvenation programmes and subsidise access to soil testing, balanced nutrition and precision-agriculture tools.

Rising Costs

Labour, fertiliser, energy and compliance costs have risen faster than farm-gate and auction prices in several recent years, compressing margins for growers and processors alike.

CCI India's Recommended Intervention: support cost-reduction through shared infrastructure, energy-efficiency financing, and bulk-input procurement facilitated through FPOs.

Price Volatility

Tea auction prices are subject to sharp swings driven by weather in competing origins, currency movements and shifting buyer contract patterns, creating income unpredictability for growers with little capacity to hedge risk.

CCI India's Recommended Intervention: explore price-stabilisation or minimum-support mechanisms in partnership with the Tea Board, and expand access to forward-contracting and price-risk-management tools for FPOs.

Logistics

Remote, hilly production geographies, particularly in the North East, face persistently high transport costs and time delays getting produce to processing and auction centres.

CCI India's Recommended Intervention: invest in rural collection infrastructure and advocate for targeted road and logistics investment in producing districts.

Small Holdings

The dominance of small and fragmented landholdings constrains economies of scale in processing, certification and market access for a growing share of national output.

CCI India's Recommended Intervention: prioritise FPO aggregation and shared processing infrastructure as the primary route to giving small holdings collective scale.

Technology Gap

Precision agriculture, digital extension and traceability tools remain concentrated among larger estates, leaving the small-grower majority reliant on informal knowledge networks.

CCI India's Recommended Intervention: build and subsidise access to a shared digital extension and traceability platform designed specifically for smallholder use.

Branding

Despite globally recognised origins, much of India's tea is still sold as undifferentiated commodity product, capturing less value than comparable branded or origin-marketed competitors.

CCI India's Recommended Intervention: invest in coordinated origin branding and support small producers and FPOs in building direct-to-consumer and export-ready brands.

Certification Costs

Organic, Fair Trade, Rainforest Alliance and similar certifications are increasingly demanded by buyers but remain expensive and administratively burdensome for smallholders to obtain individually.

CCI India's Recommended Intervention: fund group/cluster certification models that spread costs across FPO members and simplify documentation requirements.

Market Access

Small producers and FPOs frequently lack direct relationships with international buyers, relying instead on intermediaries who capture a disproportionate share of final value.

CCI India's Recommended Intervention: expand buyer-seller meets, trade delegations and digital B2B matchmaking platforms specifically designed to connect small and mid-sized producers with international buyers.

1.10. CCI India: Transforming India's Tea Ecosystem

This sets out, in detail, the role CCI India can play across every dimension of the tea value chain. Each sub-section below follows a consistent structure: the current situation, key gaps, actionable initiatives CCI India can undertake, expected outcomes, and measurable impact.

Vision of CCI India for the Tea Sector

CCI India's vision is of a tea economy that is productive, climate-resilient and fair to the smallholders and workers who sustain it while capturing far more value within India through processing, branding, tourism and digital commerce rather than exporting a commodity at the base of the value chain. This vision rests on partnership: with the Tea Board, state governments, growers' associations, FPOs, private industry and international buyers, positioning CCI India as a connective institution rather than a parallel regulator.

Strengthening Farmer Producer Organisations (FPOs)

Current situation: FPOs in tea remain unevenly developed, stronger in parts of South India but nascent across much of the North East.

Key gaps: limited management capacity, weak working-capital access, and fragmented bargaining power.

Actionable initiatives: CCI India can fund FPO formation and professional management training, provide seed capital and credit-guarantee support, and help FPOs secure direct buyer and export contracts.

Expected outcomes: stronger price realisation and reduced dependence on intermediaries.

Measurable impact: number of FPOs formed, average price premium achieved, and volume of produce aggregated through FPO channels.

Supporting Small and Marginal Growers

Current situation: small growers now account for a majority share of tea production but remain the least resourced link in the value chain.

Key gaps: limited access to finance, inputs, extension services and processing infrastructure.

Actionable initiatives: subsidised input and credit schemes, shared processing facilities, and digital extension platforms.

Expected outcomes: improved yields and quality at the farm level.

Measurable impact: growth in small-grower income and reduction in post-harvest losses.

Capacity Building & Skill Development

Current situation: skill gaps persist across agronomy, processing, quality grading, hospitality and digital marketing.

Key gaps: limited formal training infrastructure near production clusters.

Actionable initiatives: mobile training units, partnerships with agricultural universities and hospitality institutes, and certification programmes co-designed with the Tea Board.

Expected outcomes: a more skilled, adaptable workforce across the value chain.

Measurable impact: number of workers and growers certified annually.

Export Promotion and Global Market Access

Current situation: Indian tea exports are strong in volume but often under-realise value relative to quality.

Key gaps: limited direct buyer relationships for small producers and inconsistent international marketing.

Actionable initiatives: export-readiness support, participation in international buyer platforms, and co-funded marketing campaigns highlighting Indian origins.

Expected outcomes: diversified export markets and higher average unit realisation.

Measurable impact: export value growth and market diversification index.

Buyer–Seller Meets & Trade Delegations

Current situation: buyer engagement is often ad hoc and concentrated among larger exporters.

Key gaps: small and mid-sized producers rarely access international buyers directly.

Actionable initiatives: regular structured buyer-seller meets, curated trade delegations to key markets, and digital matchmaking platforms.

Expected outcomes: new trade relationships and contracts for underrepresented producers.

Measurable impact: number of deals concluded and delegations facilitated annually.

National & International Trade Fairs

Current situation: India participates in major global tea trade fairs, but representation of small growers and specialty producers is limited.

Key gaps: cost and logistics barriers for small exhibitors.

Actionable initiatives: subsidised participation, shared India pavilions, and curated product showcases.

Expected outcomes: greater visibility for Indian specialty and origin-specific products.

Measurable impact: number of participating small enterprises and resulting trade enquiries.

MSME Development

Current situation: MSMEs form a critical but under-supported layer of processing, packing and specialty manufacturing.

Key gaps: limited access to affordable credit and modern equipment.

Actionable initiatives: dedicated MSME credit lines, equipment leasing schemes, and cluster-based common facility centres.

Expected outcomes: increased processing capacity and product diversification at the MSME level.

Measurable impact: number of MSMEs supported and associated employment generated.

Startup Incubation for Tea Entrepreneurs

Current situation: a growing wave of D2C, specialty and technology-driven startups is emerging in tea, but structured incubation support is limited.

Key gaps: access to mentorship, seed capital and market linkages.

Actionable initiatives: a dedicated CCI India incubation programme offering mentorship, seed grants and retail/e-commerce onboarding support.

Expected outcomes: a pipeline of scalable, India-origin tea brands.

Measurable impact: number of startups incubated and follow-on funding raised.

Branding and GI Promotion

Current situation: India holds valuable GI tags (Darjeeling, Assam Orthodox, Nilgiri, among others) that remain under-leveraged commercially.

Key gaps: weak international enforcement against mislabelling and limited consumer awareness abroad.

Actionable initiatives: coordinated GI enforcement campaigns, consumer-facing origin marketing, and licensing frameworks that channel premium value back to growers.

Expected outcomes: stronger premium pricing and reduced counterfeiting.

Measurable impact: price premium sustained by GI-tagged products and reduction in mislabelled exports.

Digital Commerce & E-commerce Enablement

Current situation: e-commerce adoption is strong among larger brands but limited among small producers and FPOs.

Key gaps: digital literacy, logistics access and platform onboarding costs.

Actionable initiatives: onboarding support for e-commerce and quick-commerce platforms, shared fulfilment infrastructure, and digital marketing training.

Expected outcomes: direct-to-consumer revenue streams for small and specialty producers.

Measurable impact: growth in D2C sales volume among supported enterprises.

Sustainability & ESG Adoption

Current situation: sustainability certification is growing but remains costly and complex for small growers.

Key gaps: certification cost, technical documentation burden, and limited access to carbon and ESG advisory support.

Actionable initiatives: subsidised group certification schemes, ESG reporting templates suited to smallholders, and partnerships with certification bodies.

Expected outcomes: wider sustainable-practice adoption without excluding small growers.

Measurable impact: share of certified production and reduction in input-intensity per unit of output.

Organic & Specialty Tea Promotion

Current situation: organic and specialty segments are growing but remain a small share of total production.

Key gaps: conversion costs, yield risk during transition, and limited specialty-grade buyer access.

Actionable initiatives: transition-period income support, specialty grading and cupping infrastructure, and direct links to specialty buyers and roasters.

Expected outcomes: expanded high-value organic and specialty output.

Measurable impact: volume and value share of organic/specialty production.

Quality Certification & Standardisation

Current situation: quality standards vary widely across small and large producers, affecting both export competitiveness and consumer trust domestically.

Key gaps: limited testing infrastructure near production clusters.

Actionable initiatives: regional quality testing labs, subsidised certification for smallholders, and standardised grading protocols aligned with international buyer requirements.

Expected outcomes: more consistent quality and stronger buyer confidence.

Measurable impact: reduction in export rejections and improvement in average grade realisation.

Packaging, Design & Product Innovation

Current situation: packaging and product design remain a competitive weakness for many small and mid-sized Indian brands relative to global competitors.

Key gaps: limited design capacity and access to modern, sustainable packaging materials.

Actionable initiatives: design-support programmes, shared access to sustainable packaging suppliers, and innovation challenges for new product formats.

Expected outcomes: more competitive, shelf-ready products from small producers.

Measurable impact: adoption rate of improved packaging among supported brands.

Financial Linkages & Credit Facilitation

Current situation: access to affordable, timely credit remains one of the most persistent constraints across the sector, particularly for smallholders and MSMEs.

Key gaps: limited collateral, seasonal cash-flow mismatches, and thin banking penetration in remote growing areas.

Actionable initiatives: credit-guarantee schemes, working-capital facilitation linked to FPOs, and partnerships with public and private banks and NBFCs.

Expected outcomes: improved liquidity and reduced dependence on informal, high-cost credit.

Measurable impact: volume of credit facilitated and reduction in informal borrowing.

Cluster Development

Current situation: production is geographically clustered but infrastructure and services are often planned in isolation rather than at cluster scale.

Key gaps: lack of shared processing, testing and logistics infrastructure at the cluster level.

Actionable initiatives: cluster development plans co-designed with state governments, covering common infrastructure, extension services and market linkages.

Expected outcomes: more efficient, higher-quality output at lower unit cost.

Measurable impact: productivity and quality gains within supported clusters relative to baseline.

Women Entrepreneurship Promotion

Current situation: women form the backbone of the tea workforce but are under-represented in ownership, processing and export roles.

Key gaps: limited access to capital, land tenure and leadership pathways.

Actionable initiatives: women-focused credit and grant schemes, leadership training within FPOs and cooperatives, and dedicated support for women-led estates and D2C brands.

Expected outcomes: greater women's participation in ownership and leadership roles across the value chain.

Measurable impact: number of women-led enterprises supported and their revenue growth.

Youth Entrepreneurship & Rural Employment

Current situation: outmigration of youth from tea growing regions threatens the long-term labour and leadership base of the sector.

Key gaps: limited attractive, modern livelihood options within plantation economies.

Actionable initiatives: youth incubation programmes in agri-tech, hospitality and digital marketing; apprenticeship pipelines with industry; and recognition/award programmes celebrating young agri-entrepreneurs.

Expected outcomes: reduced youth outmigration and a renewed talent pipeline for the sector.

Measurable impact: number of youth-led ventures and retention rates in supported regions.

Plantation Tourism Promotion

Current situation: plantation tourism is growing organically but lacks coordinated national promotion and quality standards.

Key gaps: inconsistent visitor experience, limited hospitality skills, and fragmented marketing.

Actionable initiatives: a national plantation-tourism circuit brand, hospitality training, and joint marketing with state tourism boards and travel platforms.

Expected outcomes: higher visitor numbers and more consistent, higher-quality experiences.

Measurable impact: growth in plantation-tourism visitor numbers and associated estate revenue.

Policy Advocacy

Current situation: growers and small enterprises often lack an organised voice in policy discussions on taxation, trade, labour and environmental regulation.

Key gaps: fragmented representation and limited data to support policy positions.

Actionable initiatives: CCI India can convene structured policy dialogues, commission research to support evidence-based advocacy, and represent sector interests in trade negotiations and regulatory consultations.

Expected outcomes: policy environments more responsive to sector realities.

Measurable impact: number of policy recommendations adopted.

Research & Industry Intelligence

Current situation: research capacity is concentrated in the Tea Board's own research institutes, with limited market-intelligence capability available to small producers.

Key gaps: lack of accessible, timely market and consumer-trend intelligence.

Actionable initiatives: a CCI India market-intelligence unit publishing regular sector reports, price forecasts and consumer-trend briefings accessible to small and mid-sized enterprises.

Expected outcomes: better-informed production and marketing decisions across the sector.

Measurable impact: usage and adoption of CCI India intelligence products by industry stakeholders.

Technology Adoption (AI, IoT, Drones)

Current situation: precision agriculture technologies remain concentrated among larger estates.

Key gaps: cost, technical literacy and connectivity barriers for smallholders.

Actionable initiatives: subsidised access to satellite and drone-based crop monitoring, IoT soil and weather sensors, and AI-driven advisory tools delivered via mobile applications.

Expected outcomes: improved yield prediction, input efficiency and disease/pest management.

Measurable impact: adoption rate of precision-agriculture tools among supported growers.

Climate Change Adaptation

Current situation: erratic rainfall, rising temperatures and shifting pest/disease patterns are already affecting yields across tea tracts.

Key gaps: limited access to climate-resilient planting material and adaptation finance for smallholders.

Actionable initiatives: climate-resilient variety development and distribution, water-harvesting and drip-irrigation subsidies, and climate-risk insurance products tailored to plantation crops.

Expected outcomes: reduced yield volatility and improved grower resilience.

Measurable impact: yield stability metrics and insurance uptake among supported growers.

Carbon Credit Opportunities

Current situation: shade-grown tea systems sequester meaningful carbon, but growers rarely capture value from this through formal carbon markets.

Key gaps: lack of measurement, reporting and verification (MRV) infrastructure suited to smallholder agroforestry systems.

Actionable initiatives: pilot carbon-credit aggregation programmes for tea agroforestry, partnerships with carbon registries, and simplified MRV protocols for smallholder clusters.

Expected outcomes: a new income stream for growers practising shade cultivation.

Measurable impact: volume of verified carbon credits generated and income distributed to growers.

Digital Traceability

Current situation: traceability from farm to cup is increasingly demanded by international buyers and conscious consumers but remains inconsistent, particularly among small growers.

Key gaps: cost and technical complexity of traceability systems for smallholders.

Actionable initiatives: a shared, low-cost digital traceability platform for FPOs and small growers, integrated with export documentation and certification systems.

Expected outcomes: stronger buyer trust and access to traceability-sensitive premium markets.

Measurable impact: share of production covered by verified digital traceability

Public–Private Partnerships

Current situation: individual initiatives by government, industry and civil society often operate in silos rather than as coordinated programmes.

Key gaps: absence of a consistent platform for structuring and scaling public-private collaboration in the sector.

Actionable initiatives: CCI India can serve as a convening and structuring partner for PPPs spanning infrastructure, research, tourism and market development.

Expected outcomes: more efficient use of public and private resources toward shared sector goals.

Measurable impact: number and scale of PPPs structured and their measurable outcomes.

CCI India Action Framework for the Next Decade

Bringing these strands together, CCI India's action framework for the next decade should prioritise, in sequence:

- (1) Stabilising smallholder incomes through FPO strengthening, credit access and climate-resilient production support.
- (2) Building shared processing, quality and traceability infrastructure at cluster scale.
- (3) Accelerating branding, export promotion and plantation tourism to capture greater value domestically.
- (4) Institutionalising research, technology adoption and international partnerships as ongoing, rather than one-off, functions.

Progress against this framework should be reviewed annually against the measurable outcomes defined in each sub-section above, with course corrections informed by the market-intelligence function described earlier in this report.

SECTION :2. INDIA'S COFFEE ECONOMY

Importance of Coffee in India's Economy

Coffee occupies a distinctive place in India's economic and cultural life. It forms one of the country's oldest organised agro-industrial sectors, linking remote hill and forest tracts to global consumer markets through an unbroken chain of cultivation, processing, branding and trade. India's coffee, grown almost entirely under natural shade in the Western Ghats and the North East, is prized internationally for its distinctive character. For millions of smallholders, plantation workers, traders and entrepreneurs, coffee is not simply a crop; it is a livelihood, an identity and, increasingly, an instrument of rural transformation.

Beyond its commercial value, coffee carries a soft-power dimension for India. Indian filter coffee and shade-grown Arabica and Robusta are recognised the world over as markers of Indian craftsmanship and terroir. As global consumption patterns shift toward provenance, sustainability and specialty products, India's coffee sector is well placed to capture greater value, provided it can modernise its production base, strengthen its institutions, and tell its story more effectively to domestic and international consumers alike.

Contribution to GDP

Coffee contributes a meaningful share of India's agricultural GDP and a disproportionately large share of agricultural exports relative to the land area under cultivation. India produced around 400,000 tonnes of coffee in recent crop years, translating into billions of rupees of export earnings and several times that in domestic retail value once processing, roasting, branding, packaging, hospitality and retail margins are considered. The multiplier effect of the sector is significant: every kilogram of coffee cherry that leaves an estate touches transport, warehousing, curing works, processing units, roasting and blending facilities, marketing agencies, retail chains and, increasingly, café and tourism businesses before it reaches a final consumer. As India's overall economy diversifies, the relative share of primary commodities like coffee in national GDP has declined, but its importance to specific regional economies the Nilgiris, Kodagu, Wayanad and Chikmagalur among them remains outsized. In these geographies, coffee is often the single largest organised employer and the principal driver of local commerce.

Employment Generation

Coffee, though grown on a comparatively modest acreage, supports around two million livelihoods when growers, workers, curers, traders and allied service providers are included, most of them smallholders with less than two hectares of land. This scale of employment is precisely why the sector demands sustained policy attention: a downturn in coffee prices does not merely affect a commodity market, it directly touches the incomes of some of India's most geographically remote and economically vulnerable communities.

Role in Rural Livelihoods

Coffee cultivation is fundamentally a rural, often hill and forest-fringe, activity. Plantations anchor entire local economies providing not just wages but housing, schooling, healthcare and community infrastructure in areas where the state's own reach is often thin. Smallholder coffee growers, who account for the large majority of national output, represent a parallel economy of family farms that supplement estate production and diversify rural income sources beyond staple agriculture.

Women Workforce

Coffee estates rely heavily on women for harvesting, drying and grading operations that require skill and dexterity built over years of experience. This concentration of women's employment gives the sector a distinctive social role: wages earned on coffee estates often represent primary or co-equal household income, and initiatives that improve women's working conditions, safety, skill certification and access to leadership roles in cooperatives and FPOs have an outsized impact on rural gender equity.

MSMEs and Plantation Economy

Alongside large integrated estates, India's coffee landscape is increasingly shaped by small and medium enterprises curing works, specialty roasters, boutique packers and export houses that add processing capacity and market flexibility without owning large tracts of land. This MSME layer is critical to absorbing the output of small growers, who often lack their own processing infrastructure, and to injecting innovation, design and branding energy into a sector historically dominated by commodity trading.

Export Significance

Coffee exports, concentrated in Robusta and Instant coffee, are valued in the hundreds of millions of dollars annually, with Italy, Germany, Russia, Belgium and the UAE among the principal buyers. Coffee remains among India's most consistent agricultural export earners, offering a hedge against volatility in other commodity categories and reinforcing India's position in the global beverage trade.

Emerging Domestic Consumption

Per-capita coffee consumption in India remains a fraction of the global average, leaving substantial headroom for growth as café culture, ready-to-drink formats, and premium and specialty coffee gain traction in urban India. This domestic growth opportunity coffee's rapid urban expansion is one of the more promising long-term demand drivers for the sector, even as exporters navigate global price volatility.

Why the Coffee Sector Matters to India

The sector's importance to India rests on four pillars: it sustains rural livelihoods at a scale few other cash crops match; it generates valuable foreign exchange; it anchors regional economies in ecologically sensitive hill regions where alternative livelihoods are limited; and it carries cultural and diplomatic significance disproportionate to its share of GDP.

CCI India Perspective

For CCI India, opportunity lies in positioning India through targeted interventions in productivity, quality, branding, market access and tourism as a leading global source of premium, sustainably produced coffee. This report sets out the landscape, the institutions, the challenges and the specific role CCI India can play in realising that ambition.

2.1. India's Coffee Growing Regions

This profiles India's principal coffee-growing states, covering climate suitability for Arabica and Robusta, production and grower profiles, employment, exports, tourism potential, key challenges, and recommended CCI India interventions.

Karnataka

Karnataka is India's leading coffee-producing state, with major production centres in Kodagu (Coorg), Chikmagalur, and Hassan. Known for its Arabica and Robusta coffee grown under natural shade systems, the state produces high-quality coffee that supports a large network of small and marginal growers, plantation workers, and export-oriented businesses. Coffee is also closely linked with Karnataka's growing plantation tourism sector, particularly in Coorg and Chikmagalur.

CCI India can support Karnataka's coffee sector by:

- Financing climate-resilient replanting and sustainable plantation management practices.
- Supporting estate planning and infrastructure solutions that reduce human-wildlife conflict risks.
- Promoting certified plantation tourism through coffee estates, homestays, and experiential tourism models.
- Strengthening value addition through roasting, processing, branding, and premium coffee market development.
- Improving market linkages and supporting small growers through cooperative and producer-led initiatives.

Kerala

Kerala is India's second-largest coffee-producing state, with production concentrated in Wayanad, Idukki, and Palakkad. Predominantly Robusta-based, Kerala's coffee sector is driven by small and marginal farmers who integrate coffee with pepper, areca nut, and other spice crops, creating a diversified hill-farming system. The sector has strong potential for eco-tourism through coffee estate experiences, community engagement, and spice-coffee tourism trails.

CCI India can support Kerala's coffee sector by:

- Strengthening Farmer Producer Organizations (FPOs) to improve collective bargaining and market access.
- Promoting specialty, sustainable, and Fair Trade-certified coffee production.
- Supporting climate-resilient cultivation practices and diversification models.
- Expanding plantation tourism through coffee estates, community experiences, and agro-tourism circuits.
- Improving branding and value addition to enhance farmer incomes.

Tamil Nadu

Tamil Nadu's coffee sector, concentrated in the Nilgiris, Anamalais, and Pulney hills, produces both Arabica and Robusta varieties and is closely linked with the state's hill tourism economy. While production is modest, the sector supports small growers and plantation workers and benefits from established tourism destinations such as Ooty, Coonoor, and Valparai. Key challenges include ageing growers, fragmented holdings, and increasing competition for land use.

CCI India can support Tamil Nadu's coffee sector by:

- Supporting smallholder estate revival and intergenerational succession planning.
- Promoting integrated coffee-tourism circuits across hill regions.
- Strengthening processing, branding, and specialty coffee development.
- Improving market linkages for small growers to access premium markets.
- Encouraging sustainable plantation practices suited to changing climate conditions.

Andhra Pradesh

Andhra Pradesh's coffee sector is concentrated in the Araku Valley of the Eastern Ghats, where cultivation is almost entirely led by tribal growers. The region has become a nationally and internationally recognised model of organic and Fair Trade-certified coffee production, supporting Adivasi livelihoods through premium-quality coffee, strong origin branding, and community-based value addition.

Araku coffee has achieved international recognition and commands premium prices, demonstrating how certification and geographical identity can transform a historically marginal tribal economy. The sector faces challenges including limited processing and roasting capacity at source, dependence on a relatively small number of buyers, and the need to safeguard tribal land rights amid growing commercial interest.

CCI India can support Andhra Pradesh's coffee sector by:

- Supporting the expansion of the successful Araku model into additional tribal-growing areas.
- Investing in processing, roasting, and value-addition infrastructure closer to production areas.
- Strengthening market diversification and access to premium domestic and international buyers.
- Promoting origin branding and specialty coffee development.
- Supporting measures that protect tribal land rights and strengthen community ownership of coffee enterprises.

Odisha

Odisha's coffee sector is emerging, with cultivation concentrated in the tribal-dominated districts of Koraput and the Eastern Ghats. Expansion has been supported through Coffee Board and state government programmes providing subsidised planting material, extension services, and technical assistance. Although production remains relatively small, coffee offers an important alternative and supplementary livelihood for tribal communities traditionally dependent on subsistence agriculture and forest resources. The principal constraints include limited processing infrastructure, weak market linkages, and the need for sustained technical support to improve productivity and quality.

CCI India can support Odisha's coffee sector by:

- Prioritising Odisha as a frontier coffee-growing region for future expansion.
- Establishing common processing and post-harvest infrastructure.
- Strengthening extension services and farmer capacity-building programmes.
- Developing market linkages with premium domestic and export buyers.
- Supporting value addition and origin branding from the early stages of sector development.

Arunachal Pradesh

Coffee cultivation in Arunachal Pradesh is at a nascent stage and is being promoted as a diversification option for hill farmers in districts with suitable agro-climatic conditions. Although production volumes remain small, the state's largely chemical-free farming systems provide a strong foundation for organic coffee cultivation. Growth is constrained by poor connectivity, limited processing facilities, and underdeveloped marketing systems.

CCI India can support Arunachal Pradesh's coffee sector by:

- Developing pilot coffee-growing clusters in suitable hill districts.
- Sharing processing and extension infrastructure with existing agricultural initiatives.
- Supporting farmer training and technical extension services.
- Investing in basic processing and logistics infrastructure.

- Promoting organic and specialty coffee production linked to North-East branding initiatives.

Nagaland

Nagaland is promoting Arabica coffee cultivation, particularly in higher-elevation districts, as part of broader efforts to diversify tribal livelihoods and reduce dependence on shifting (jhum) cultivation. While production remains limited, government and Coffee Board initiatives have expanded coffee cultivation and increased farmer participation in recent years. The sector requires improved processing infrastructure, stronger quality management, and better market access to achieve commercial viability.

CCI India can support Nagaland's coffee sector by:

- Establishing consolidated processing and post-harvest infrastructure.
- Strengthening technical extension and quality improvement programmes.
- Supporting specialty coffee production and certification.
- Improving market linkages and access to premium buyers.
- Promoting Naga coffee as a distinct North-East origin product.

Mizoram

Mizoram's coffee sector is at an early stage of development, promoted as part of broader agriculture diversification strategies to provide sustainable alternatives to shifting cultivation. Production remains modest, but favourable agro-climatic conditions offer potential for organic and specialty coffee development over the longer term.

CCI India can support Mizoram's coffee sector by:

- Supporting pilot coffee cultivation and processing clusters.
- Strengthening technical extension services for new growers.
- Investing in basic post-harvest infrastructure.
- Promoting organic certification pathways from an early stage.
- Linking Mizoram coffee to broader North-East origin branding and agriculture diversification strategies.

Manipur

Coffee cultivation in Manipur remains at a nascent, largely pilot stage, concentrated in hill districts with suitable elevation and climate for Arabica. As with other North-Eastern states, coffee is being promoted as a diversification option for tribal and hill-farming communities, though the sector faces significant constraints around processing infrastructure, market linkages, and technical extension.

CCI India can support Manipur's coffee sector by:

- Developing pilot coffee-growing clusters in suitable hill districts.
- Providing technical training and extension support for new growers.
- Investing in shared basic processing infrastructure.

- Building market linkages to domestic and North-East regional buyers.
- Promoting Manipur coffee within broader North-East origin and organic branding initiatives.

2.2. Coffee Production Ecosystem

Coffee production in India follows a distinctive two-tier shade system, with taller silver oak or jackfruit trees providing overhead canopy and a secondary layer of shade regulating microclimate for the coffee plants below a practice that supports biodiversity and moderates the impact of temperature extremes. Nurseries raise both Arabica and Robusta seedlings, with growing attention to climate-resilient and disease-tolerant varieties as coffee leaf rust and berry borer pressure intensifies. Soil and irrigation management is increasingly critical as erratic monsoon patterns disrupt the flowering ('blossom shower') that determines the entire season's yield; drip irrigation adoption is growing in response.

Harvesting remains predominantly manual selective picking for Arabica destined for premium markets, while Robusta is more often strip-harvested. Labour availability during the concentrated harvest window is a persistent constraint, prompting interest in mechanised harvesting aids for flatter estates. Organic and specialty coffee cultivation is expanding rapidly, supported by Coffee Board certification schemes and growing buyer interest in traceable, single-origin coffee. Technology adoption soil sensors, weather-linked advisories and satellite-based blossom and yield forecasting is beginning to reach larger estates and progressive FPOs, though small growers, who form most India's coffee farmers, still have limited access to these tools.

CCI India Support

CCI India can accelerate production-side transformation by financing nursery modernisation and varietal upgradation programmes, subsidising drip irrigation and soil-testing infrastructure for smallholder clusters, supporting mechanisation pilots calibrated to quality requirements, and building a shared digital extension platform that brings satellite advisories, weather alerts and market information to small coffee growers who currently rely on informal information networks.

2.3. Coffee Processing Ecosystem

Coffee Processing

Coffee processing follows two principal routes: wet processing, in which ripe cherries are pulped, fermented to remove mucilage, washed and dried, producing the cleaner, brighter cup profile associated with washed Arabica; and dry (natural) processing, in which whole cherries are sun-dried before hulling, more common for Robusta and increasingly popular for specialty natural-processed lots prized for fruitier flavour notes. Roasting, grinding and blending follow at the manufacturing stage, where technical expertise in roast profiling increasingly differentiates commodity coffee from specialty and branded products. Packaging innovation nitrogen-flushed pouches, single-serve formats and recyclable materials is becoming a competitive differentiator as branded and specialty coffee grows.

Technology, Food Safety and Quality Standards

The sector faces rising expectations around food safety compliance (FSSAI standards, including recent tightening of coffee-chicory blend labelling rules), pesticide residue limits for export markets, and traceability requirements from international buyers. Digital batch-tracking, moisture and quality sensors, and automated sorting technology are gradually being adopted by larger processors, but remain largely inaccessible to small and cooperative-scale units.

CCI India Perspective

CCI India can support shared processing infrastructure for small-grower clusters, financing for factory modernisation and energy efficiency (including solar-powered drying and processing units), technical training in roast and fermentation science, and assistance in achieving international food-safety and quality certifications that unlock premium export markets.

2.4. Coffee Supply Chain Ecosystem

The Complete Value Chain

India's coffee moves through a long value chain: from farmer or estate, produce may pass to an FPO or directly to a processor; processed coffee moves largely through direct sale to exporters or curing works post-liberalisation; from there it moves to importers abroad or domestic distributors, then wholesalers, roasters, retailers, and finally the consumer. Each link in this chain adds cost, time and, when well-managed, value but each is also a potential point of leakage, delay or price distortion that reduces the share of final value reaching the farmer.

Warehousing, Logistics and Cold Chain

Warehousing quality varies widely, from modern climate-controlled facilities near major ports to informal storage in remote coffee tracts, where humidity and pest exposure can degrade quality before produce ever reaches a processor. Logistics from hill and forest-fringe growing areas to processing and export centres is often the single largest hidden cost for small growers, particularly in parts of the Western Ghats where road infrastructure remains poor. While coffee is not as cold-chain-dependent as perishable horticulture, temperature and humidity control during storage and transport materially affects shelf life and cup quality, particularly for specialty coffee.

Digital Supply Chains, E-commerce and Quick Commerce

Digital marketplaces and direct-to-consumer e-commerce have opened new channels for specialty coffee brands to reach urban consumers without traditional distributor layers, improving margins for well-positioned small producers and D2C brands alike. Quick commerce platforms are increasingly stocking packaged coffee for immediate delivery in metro markets, reshaping retail dynamics and demanding tighter, more responsive supply chains from brands seeking shelf presence on these platforms.

CCI India Interventions

CCI India can support investment in rural collection and storage infrastructure near production clusters, facilitate digital traceability platforms that give small growers better price visibility, and help small and emerging brands access e-commerce and quick-commerce channels through onboarding support, logistics partnerships and working-capital facilitation.

2.5. Indian Coffee Industry

Major Companies

Tata Consumer Products is a major force in Indian coffee, while dedicated coffee specialists such as Tata Coffee (India's largest integrated coffee plantation company, with significant Arabica and Robusta holdings in Karnataka, Kerala and Tamil Nadu), Continental Coffee (CCL Products), and Hindustan Unilever's Bru brand anchor the branded instant and roast-and-ground segments. Nestlé India's Nescafé remains a dominant force in instant coffee, reflecting the historically strong position of soluble coffee in Indian household consumption.

Coffee Chains and Roasters

India's café culture has been shaped by homegrown chains such as Café Coffee Day, alongside international entrants like Starbucks (through its Tata Starbucks joint venture) and a fast-growing wave of specialty roasters and boutique café brands in metro cities. These specialty players have driven consumer education around single-origin, estate-specific and specialty-grade coffee, categories that barely existed in the Indian market a decade ago.

Instant Coffee and Manufacturers

India is also a significant global manufacturer and exporter of instant/soluble coffee, with companies such as CCL Products among the world's largest private-label instant coffee manufacturers, supplying international retail and food-service brands in addition to serving the domestic market. This manufacturing capability gives India's coffee industry a value-added export dimension beyond simple green bean exports.

Exporters and Innovation

Coffee exporters navigate a market where Italy, Germany, Russia, Belgium and the UAE are among the leading destinations, with both green bean and processed coffee exports subject to global price volatility and shifting buyer contract patterns favouring shorter-term commitments amid recent price surges. Innovation is visible in the rapid growth of direct-to-consumer and subscription coffee brands leveraging e-commerce to reach consumers directly with fresh-roasted, traceable coffee, and in specialty processing techniques such as honey-processed and experimental fermentation lots that command premium pricing in both domestic and export specialty markets.

Outlook

India's coffee industry is entering a period of structural change: domestic per-capita consumption, though still far below the global average, is rising quickly on the back of café culture and premiumisation, even as production is forecast to grow toward record levels on the back of favourable monsoons and expanded acreage. The sector's future likely lies in capturing more value domestically through roasting, branding and café retail rather than continuing to export the bulk of its coffee as a raw commodity.

CCI India Support

CCI India can support Indian roasters and specialty brands in scaling domestic retail and export-ready branding, help integrated plantation companies and smallholder cooperatives alike access premium certification and traceability systems, and champion India's specialty and tribal-origin coffee stories (such as Araku) as flagship examples of value-added, equity-oriented coffee development.

2.6. Rise of Coffee Chains & Plantation Tourism

Coffee Chains

India's café landscape has matured rapidly from a handful of chains a generation ago into a diverse ecosystem spanning mass-market coffee chains, international franchise entrants, and a fast-growing tier of independent specialty roasteries. Franchise models have allowed rapid geographic expansion into tier-2 and tier-3 cities, while flagship 'experience stores' in metro markets increasingly focus on origin storytelling, barista craft and premium ambience rather than coffee alone. Premium coffee culture pour-overs, cold brew, single-origin tastings is now firmly established among urban millennial and Gen-Z consumers, creating a distinct, higher-margin segment above the mass-market café business.

Eco-Tourism: Estates, Estate Stays and Farm Tourism

Plantation tourism has grown from a niche offering into a meaningful revenue stream for many coffee estates, particularly in Coorg, Chikmagalur and Wayanad. Estate stays and homestays allow visitors to experience plantation life directly, while structured farm tourism programmes coffee cupping, guided plantation walks, and pre- and post-harvest processing demonstrations convert everyday agricultural operations into memorable visitor experiences.

How CCI India Can Support

CCI India's role spans investment promotion for estate-tourism infrastructure; formal tourism-industry partnerships and hospitality tie-ups to bring professional standards and distribution to plantation stays; coordinated branding of India's coffee tourism circuits for international travellers; skill development programmes for hospitality, guiding and craft-based livelihoods in plantation communities; global promotion through international tourism and trade platforms.

2.7. Coffee Board of India

Constituted under the Coffee Act, 1942, and headquartered in Bengaluru, the Coffee Board of India is the statutory apex body for the coffee sector, promoting cultivation, processing and export; setting and enforcing quality standards through its Quality Evaluation Centres; running the Central Coffee Research Institute at Balehonnur and its regional stations; and providing financial assistance through schemes such as the Rejuvenation and Technology Upgradation Scheme and the Coffee Development and Welfare Scheme.

Scope of Collaboration with CCI India

While the Coffee Board of India possesses extensive technical expertise, research capabilities, regulatory authority, and experience in implementing government development schemes, its activities are necessarily constrained by public-sector budgets, statutory mandates, and administrative processes. Its primary focus remains on regulation, research, quality assurance, certification, extension services, and sector development.

CCI India can complement, rather than duplicate, these functions by acting as a strategic implementation and ecosystem development partner. It can mobilise private investment, CSR funding, philanthropic capital, and impact finance to supplement government programmes and accelerate sector-wide development. CCI India can also undertake market-oriented initiatives that fall beyond the traditional mandate of the Board, including destination branding, domestic and international marketing, e-commerce enablement, tourism development, startup incubation, entrepreneurship support, and value-chain innovation.

In addition, CCI India can serve as a collaborative platform that brings together government agencies, growers, Farmer Producer Organisations (FPOs), processors, exporters, hospitality and tourism operators, technology providers, financial institutions, research organisations, and private enterprises. By facilitating partnerships, coordinating multi-stakeholder initiatives, and supporting integrated project implementation, CCI India can strengthen the coffee ecosystem, improve market competitiveness, attract greater investment, and accelerate sustainable sector growth while leveraging the technical and regulatory strengths of the Coffee Board of India.

2.8. Eco-Tourism: The Standout Opportunity

This is arguably where CCI India can create the most distinctive, high-visibility value, because it sits at the intersection of things the Coffee Board is not resourced to do (hospitality standards, tourism marketing, startup incubation) and things the private sector alone struggles to coordinate (national branding, cross-state circuits).

Why it matters: Plantation tourism has already grown organically into a meaningful revenue stream in Coorg, Chikmagalur and Wayanad but it remains fragmented, with inconsistent visitor experience and no coordinated national identity. Regions like Kerala's Idukki-Wayanad belt are especially well-positioned because coffee, spices, and biodiversity-rich eco-tourism already overlap geographically.

Where CCI India can specifically intervene:

- **Infrastructure & Investment Promotion:** Channel investment into estate-tourism infrastructure (homestays, visitor centers, trails) in partnership with state tourism boards.
- **Hospitality Standards & Tie-Ups:** Formal partnerships with hospitality brands to bring professional service standards and distribution reach to small estate stays that currently lack marketing capacity.
- **National Circuit Branding:** Build a unified “plantation tourism circuit” brand spanning Coorg/Chikmagalur's cupping-and-homestay model and Wayanad's tribal-and-spice-integrated eco-tourism.
- **Skill Development:** Train local communities in guiding, hospitality, and craft-based livelihoods so tourism revenue stays local rather than flowing to outside operators.
- **Women-Led Tourism:** Specifically support women-run homestays, guiding services, and handicraft/spice cooperatives that have already emerged around plantation tourism this reinforces the sector's broader gender-equity potential.
- **Digital Marketing for Small Operators:** Most estate owners running homestays don't have in-house marketing; CCI-backed digital promotion and global platform presence (international tourism/trade platforms) would fill this gap directly.
- **Start-up Support:** Incubate new hospitality and experience-design ventures built specifically around plantation tourism cupping experiences, tasting flights, agro-tourism apps, and similar formats.
- **Sustainability as a Selling Point:** Support estates in adopting waste management, water conservation, and community benefit-sharing practices, which are increasingly what responsible-travel consumers are looking for turning sustainability into a marketing asset, not just a compliance cost.

2.9. Key Challenges Across India's Coffee Sector

Climate Change

Erratic monsoons, prolonged dry spells and unseasonal rainfall are already disrupting flowering and yields across coffee tracts, disrupting the blossom-shower dependent flowering cycle that determines the entire season's output.

CCI India's Recommended Intervention: fund climate-resilient variety development, drip-irrigation subsidies, and a climate-risk insurance product tailored to plantation crops.

Labour Shortages

Outmigration from coffee growing regions, combined with the physically demanding and seasonally concentrated nature of harvest work, has produced persistent labour shortages, particularly during peak picking windows.

CCI India's Recommended Intervention: support calibrated mechanisation pilots that preserve quality, alongside skill-and-wage initiatives that make plantation work more attractive to local youth.

Productivity

Yields per hectare in many Indian coffee tracts lag global benchmarks, owing to ageing trees, inconsistent soil management and limited precision-agriculture adoption among smallholders.

CCI India's Recommended Intervention: finance replanting and rejuvenation programmes and subsidise access to soil testing, balanced nutrition and precision-agriculture tools.

Rising Costs

Labour, fertiliser, energy and compliance costs have risen faster than farm-gate and market prices in several recent years, compressing margins for growers and processors alike.

CCI India's Recommended Intervention: support cost-reduction through shared infrastructure, energy-efficiency financing, and bulk-input procurement facilitated through FPOs.

Price Volatility

Global coffee prices are subject to sharp swings driven by weather in competing origins, currency movements and shifting buyer contract patterns, creating income unpredictability for growers with little capacity to hedge risk.

CCI India's Recommended Intervention: explore price-stabilisation or minimum-support mechanisms in partnership with the Coffee Board, and expand access to forward-contracting and price-risk-management tools for FPOs.

Logistics

Remote, hilly production geographies, particularly in parts of the Western Ghats, face persistently high transport costs and time delays getting produce to processing and export centres.

CCI India's Recommended Intervention: invest in rural collection infrastructure and advocate for targeted road and logistics investment in producing districts.

Small Holdings

The dominance of small and fragmented landholdings particularly pronounced in coffee, where the vast majority of growers are small or marginal constrains economies of scale in processing, certification and market access.

CCI India's Recommended Intervention: prioritise FPO aggregation and shared processing infrastructure as the primary route to giving small holdings collective scale.

Technology Gap

Precision agriculture, digital extension and traceability tools remain concentrated among larger estates, leaving the small-grower majority reliant on informal knowledge networks.

CCI India's Recommended Intervention: build and subsidise access to a shared digital extension and traceability platform designed specifically for smallholder use.

Branding

Despite globally recognised origins, much of India's coffee is still sold as undifferentiated commodity product, capturing less value than comparable branded or origin-marketed competitors.

CCI India's Recommended Intervention: invest in coordinated origin branding and support small producers and FPOs in building direct-to-consumer and export-ready brands.

Certification Costs

Organic, Fair Trade, Rainforest Alliance and similar certifications are increasingly demanded by buyers but remain expensive and administratively burdensome for smallholders to obtain individually.

CCI India's Recommended Intervention: fund group/cluster certification models that spread costs across FPO members and simplify documentation requirements.

Market Access

Small producers and FPOs frequently lack direct relationships with international buyers, relying instead on intermediaries who capture a disproportionate share of final value.

CCI India's Recommended Intervention: expand buyer-seller meets, trade delegations and digital B2B matchmaking platforms specifically designed to connect small and mid-sized producers with international buyers.

2.10. CCI India: Transforming India's Coffee Ecosystem

This sets out, in detail, the role CCI India can play across every dimension of the coffee value chain. Each sub-section below follows a consistent structure: the current situation, key gaps, actionable initiatives CCI India can undertake, expected outcomes, and measurable impact.

Vision of CCI India for the Coffee Sector

CCI India's vision is of a coffee economy that is productive, climate-resilient and fair to the smallholders and workers who sustain it while capturing far more value within India through processing, branding, tourism and digital commerce rather than exporting a commodity at the base of the value chain. This vision rests on partnership: with the Coffee Board, state governments, growers' associations, FPOs, private industry and international buyers, positioning CCI India as a connective institution rather than a parallel regulator.

Strengthening Farmer Producer Organisations (FPOs)

Current situation: FPOs in coffee remain unevenly developed, strong in parts of South India but nascent across much of the North East.

Key gaps: limited management capacity, weak working-capital access, and fragmented bargaining power.

Actionable initiatives: CCI India can fund FPO formation and professional management training, provide seed capital and credit-guarantee support, and help FPOs secure direct buyer and export contracts.

Expected outcomes: stronger price realisation and reduced dependence on intermediaries.

Measurable impact: number of FPOs formed, average price premium achieved, and volume of produce aggregated through FPO channels.

Supporting Small and Marginal Growers

Current situation: small growers now account for a majority share of coffee production but remain the least resourced link in the value chain.

Key gaps: limited access to finance, inputs, extension services and processing infrastructure.

Actionable initiatives: subsidised input and credit schemes, shared processing facilities, and digital extension platforms.

Expected outcomes: improved yields and quality at the farm level.

Measurable impact: growth in small-grower income and reduction in post-harvest losses.

Capacity Building & Skill Development

Current situation: skill gaps persist across agronomy, processing, quality grading, hospitality and digital marketing.

Key gaps: limited formal training infrastructure near production clusters.

Actionable initiatives: mobile training units, partnerships with agricultural universities and hospitality institutes, and certification programmes co-designed with the Coffee Board.

Expected outcomes: a more skilled, adaptable workforce across the value chain.

Measurable impact: number of workers and growers certified annually.

Export Promotion and Global Market Access

Current situation: Indian coffee exports are strong in volume but often under-realise value relative to quality.

Key gaps: limited direct buyer relationships for small producers and inconsistent international marketing.

Actionable initiatives: export-readiness support, participation in international buyer platforms, and co-funded marketing campaigns highlighting Indian origins.

Expected outcomes: diversified export markets and higher average unit realisation.

Measurable impact: export value growth and market diversification index.

Buyer–Seller Meets & Trade Delegations

Current situation: buyer engagement is often ad hoc and concentrated among larger exporters.

Key gaps: small and mid-sized producers rarely access international buyers directly.

Actionable initiatives: regular structured buyer-seller meets, curated trade delegations to key markets, and digital matchmaking platforms.

Expected outcomes: new trade relationships and contracts for underrepresented producers.

Measurable impact: number of deals concluded and delegations facilitated annually.

National & International Trade Fairs

Current situation: India participates in major global coffee trade fairs, but representation of small growers and specialty producers is limited.

Key gaps: cost and logistics barriers for small exhibitors.

Actionable initiatives: subsidised participation, shared India pavilions, and curated product showcases.

Expected outcomes: greater visibility for Indian specialty and origin-specific products.

Measurable impact: number of participating small enterprises and resulting trade enquiries.

MSME Development

Current situation: MSMEs form a critical but under-supported layer of processing, roasting and specialty manufacturing.

Key gaps: limited access to affordable credit and modern equipment.

Actionable initiatives: dedicated MSME credit lines, equipment leasing schemes, and cluster-based common facility centres.

Expected outcomes: increased processing capacity and product diversification at the MSME level.

Measurable impact: number of MSMEs supported and associated employment generated.

Startup Incubation for Coffee Entrepreneurs

Current situation: a growing wave of D2C, specialty and technology-driven startups is emerging in coffee, but structured incubation support is limited.

Key gaps: access to mentorship, seed capital and market linkages.

Actionable initiatives: a dedicated CCI India incubation programme offering mentorship, seed grants and retail/e-commerce onboarding support.

Expected outcomes: a pipeline of scalable, India-origin coffee brands.

Measurable impact: number of startups incubated and follow-on funding raised.

Branding and GI Promotion

Current situation: India holds valuable GI tags (Coorg Arabica, Wayanad Robusta, Araku Valley Arabica, Chikmagalur Arabica, among others) that remain under-leveraged commercially.

Key gaps: weak international enforcement against mislabelling and limited consumer awareness abroad.

Actionable initiatives: coordinated GI enforcement campaigns, consumer-facing origin marketing, and licensing frameworks that channel premium value back to growers.

Expected outcomes: stronger premium pricing and reduced counterfeiting.

Measurable impact: price premium sustained by GI-tagged products and reduction in mislabelled exports.

Digital Commerce & E-commerce Enablement

Current situation: e-commerce adoption is strong among larger brands but limited among small producers and FPOs.

Key gaps: digital literacy, logistics access and platform onboarding costs.

Actionable initiatives: onboarding support for e-commerce and quick-commerce platforms, shared fulfilment infrastructure, and digital marketing training.

Expected outcomes: direct-to-consumer revenue streams for small and specialty producers.

Measurable impact: growth in D2C sales volume among supported enterprises.

Sustainability & ESG Adoption

Current situation: sustainability certification is growing but remains costly and complex for small growers.

Key gaps: certification cost, technical documentation burden, and limited access to carbon and ESG advisory support.

Actionable initiatives: subsidised group certification schemes, ESG reporting templates suited to smallholders, and partnerships with certification bodies.

Expected outcomes: wider sustainable-practice adoption without excluding small growers.

Measurable impact: share of certified production and reduction in input-intensity per unit of output.

Organic & Specialty Coffee Promotion

Current situation: organic and specialty segments are growing but remain a small share of total production.

Key gaps: conversion costs, yield risk during transition, and limited specialty-grade buyer access.

Actionable initiatives: transition-period income support, specialty grading and cupping infrastructure, and direct links to specialty buyers and roasters.

Expected outcomes: expanded high-value organic and specialty output.

Measurable impact: volume and value share of organic/specialty production.

Quality Certification & Standardisation

Current situation: quality standards vary widely across small and large producers, affecting both export competitiveness and consumer trust domestically.

Key gaps: limited testing infrastructure near production clusters.

Actionable initiatives: regional quality testing labs, subsidised certification for smallholders, and standardised grading protocols aligned with international buyer requirements.

Expected outcomes: more consistent quality and stronger buyer confidence.

Measurable impact: reduction in export rejections and improvement in average grade realisation.

Packaging, Design & Product Innovation

Current situation: packaging and product design remain a competitive weakness for many small and mid-sized Indian brands relative to global competitors.

Key gaps: limited design capacity and access to modern, sustainable packaging materials.

Actionable initiatives: design-support programmes, shared access to sustainable packaging suppliers, and innovation challenges for new product formats.

Expected outcomes: more competitive, shelf-ready products from small producers.

Measurable impact: adoption rate of improved packaging among supported brands.

Financial Linkages & Credit Facilitation

Current situation: access to affordable, timely credit remains one of the most persistent constraints across the sector, particularly for smallholders and MSMEs.

Key gaps: limited collateral, seasonal cash-flow mismatches, and thin banking penetration in remote growing areas.

Actionable initiatives: credit-guarantee schemes, working-capital facilitation linked to FPOs, and partnerships with public and private banks and NBFCs.

Expected outcomes: improved liquidity and reduced dependence on informal, high-cost credit.

Measurable impact: volume of credit facilitated and reduction in informal borrowing.

Cluster Development

Current situation: production is geographically clustered but infrastructure and services are often planned in isolation rather than at cluster scale.

Key gaps: lack of shared processing, testing and logistics infrastructure at the cluster level.

Actionable initiatives: cluster development plans co-designed with state governments, covering common infrastructure, extension services and market linkages.

Expected outcomes: more efficient, higher-quality output at lower unit cost.

Measurable impact: productivity and quality gains within supported clusters relative to baseline.

Women Entrepreneurship Promotion

Current situation: women form the backbone of the coffee workforce but are under-represented in ownership, processing and export roles.

Key gaps: limited access to capital, land tenure and leadership pathways.

Actionable initiatives: women-focused credit and grant schemes, leadership training within FPOs and cooperatives, and dedicated support for women-led estates, cafés and D2C brands.

Expected outcomes: greater women's participation in ownership and leadership roles across the value chain.

Measurable impact: number of women-led enterprises supported and their revenue growth.

Youth Entrepreneurship & Rural Employment

Current situation: outmigration of youth from coffee growing regions threatens the long-term labour and leadership base of the sector.

Key gaps: limited attractive, modern livelihood options within plantation economies.

Actionable initiatives: youth incubation programmes in agri-tech, hospitality and digital marketing; apprenticeship pipelines with industry; and recognition/award programmes celebrating young agri-entrepreneurs.

Expected outcomes: reduced youth outmigration and a renewed talent pipeline for the sector.

Measurable impact: number of youth-led ventures and retention rates in supported regions.

Plantation Tourism Promotion

Current situation: plantation tourism is growing organically but lacks coordinated national promotion and quality standards.

Key gaps: inconsistent visitor experience, limited hospitality skills, and fragmented marketing.

Actionable initiatives: a national plantation-tourism circuit brand, hospitality training, and joint marketing with state tourism boards and travel platforms.

Expected outcomes: higher visitor numbers and more consistent, higher-quality experiences.

Measurable impact: growth in plantation-tourism visitor numbers and associated estate revenue.

Policy Advocacy

Current situation: growers and small enterprises often lack an organised voice in policy discussions on taxation, trade, labour and environmental regulation.

Key gaps: fragmented representation and limited data to support policy positions.

Actionable initiatives: CCI India can convene structured policy dialogues, commission research to support evidence-based advocacy, and represent sector interests in trade negotiations and regulatory consultations.

Expected outcomes: policy environments more responsive to sector realities.

Measurable impact: number of policy recommendations adopted.

Research & Industry Intelligence

Current situation: research capacity is concentrated in the Coffee Board's own research institutes, with limited market-intelligence capability available to small producers.

Key gaps: lack of accessible, timely market and consumer-trend intelligence.

Actionable initiatives: a CCI India market-intelligence unit publishing regular sector reports, price forecasts and consumer-trend briefings accessible to small and mid-sized enterprises.

Expected outcomes: better-informed production and marketing decisions across the sector.

Measurable impact: usage and adoption of CCI India intelligence products by industry stakeholders.

Technology Adoption (AI, IoT, Drones)

Current situation: precision agriculture technologies remain concentrated among larger estates.

Key gaps: cost, technical literacy and connectivity barriers for smallholders.

Actionable initiatives: subsidised access to satellite and drone-based crop monitoring, IoT soil and weather sensors, and AI-driven advisory tools delivered via mobile applications.

Expected outcomes: improved yield prediction, input efficiency and disease/pest management.

Measurable impact: adoption rate of precision-agriculture tools among supported growers.

Climate Change Adaptation

Current situation: erratic rainfall, rising temperatures and shifting pest/disease patterns are already affecting yields across coffee tracts.

Key gaps: limited access to climate-resilient planting material and adaptation finance for smallholders.

Actionable initiatives: climate-resilient variety development and distribution, water-harvesting and drip-irrigation subsidies, and climate-risk insurance products tailored to plantation crops.

Expected outcomes: reduced yield volatility and improved grower resilience.

Measurable impact: yield stability metrics and insurance uptake among supported growers.

Carbon Credit Opportunities

Current situation: shade-grown coffee systems sequester meaningful carbon, but growers rarely capture value from this through formal carbon markets.

Key gaps: lack of measurement, reporting and verification (MRV) infrastructure suited to smallholder agroforestry systems.

Actionable initiatives: pilot carbon-credit aggregation programmes for coffee agroforestry, partnerships with carbon registries, and simplified MRV protocols for smallholder clusters.

Expected outcomes: a new income stream for growers practising shade cultivation.

Measurable impact: volume of verified carbon credits generated and income distributed to growers.

Digital Traceability

Current situation: traceability from farm to cup is increasingly demanded by international buyers and conscious consumers but remains inconsistent, particularly among small growers.

Key gaps: cost and technical complexity of traceability systems for smallholders.

Actionable initiatives: a shared, low-cost digital traceability platform for FPOs and small growers, integrated with export documentation and certification systems.

Expected outcomes: stronger buyer trust and access to traceability-sensitive premium markets.

Measurable impact: share of production covered by verified digital traceability.

Public–Private Partnerships

Current situation: individual initiatives by government, industry and civil society often operate in silos rather than as coordinated programmes.

Key gaps: absence of a consistent platform for structuring and scaling public-private collaboration in the sector.

Actionable initiatives: CCI India can serve as a convening and structuring partner for PPPs spanning infrastructure, research, tourism and market development.

Expected outcomes: more efficient use of public and private resources toward shared sector goals.

Measurable impact: number and scale of PPPs structured and their measurable outcomes.

CCI India Action Framework for the Next Decade

Bringing these strands together, CCI India's action framework for the next decade should prioritise, in sequence:

- (5) Stabilising smallholder incomes through FPO strengthening, credit access and climate-resilient production support.
- (6) Building shared processing, quality and traceability infrastructure at cluster scale.
- (7) Accelerating branding, export promotion and plantation tourism to capture greater value domestically.
- (8) Institutionalising research, technology adoption and international partnerships as ongoing, rather than one-off, functions.

Progress against this framework should be reviewed annually against the measurable outcomes defined in each sub-section above, with course corrections informed by the market-intelligence function described earlier in this report.

Côte d'Ivoire A Strategic Partner for India

Overview of Côte d'Ivoire's Coffee Economy

Côte d'Ivoire was once the world's third-largest coffee producer, a position built through decades of large-scale Robusta cultivation that made the country a dominant force in global coffee trade through much of the twentieth century. That standing has eroded considerably since its 1970s peak, driven by a combination of prolonged civil conflict that disrupted rural production and investment, ageing tree stock that has gone largely unplanted for a generation, and intensifying competition from lower-cost, higher-yield origins such as Vietnam and Brazil, both of which have captured Robusta and blended-coffee market share once held by West African producers. Recent USDA estimates place the country's production and exports well below these historical highs, at roughly 650,000 bags exported in 2024 a fraction of what the country once shipped at its peak, and a clear indicator of a sector in need of structural renewal.

In response, the Ivorian government's National Development Plan has set an ambitious target of a fourfold increase in coffee output over the coming years, backed by coordinated efforts through the Coffee-Cocoa Council, the state body overseeing both country's flagship export crops. Alongside this production push, the Council has also been actively working to raise domestic coffee consumption, historically low in a country that exports the overwhelming majority of what it grows, and to support a new generation of young roasters and specialty entrepreneurs who are seeking to reposition Ivorian Robusta away from its traditional identity as an undifferentiated bulk commodity and toward recognition as a fine, distinctive, origin-specific coffee capable of commanding specialty-market pricing.

Relevance to the Indian Market

Côte d'Ivoire's coffee economy smallholder-dominated in its farm structure, Robusta-centric in its production profile, and now actively pursuing quality upgradation and vertical integration as a matter of national policy mirrors, in striking detail, the very challenges India's own coffee sector has spent recent decades trying to navigate. Both countries share a production base built overwhelmingly on small and marginal growers rather than large corporate estates, both have historically exported the bulk of their coffee as raw green beans rather than value-added, roasted or branded product, and both are now attempting, through different but complementary strategies, to move up the value chain rather than remain price-takers in a commodity market.

Côte d'Ivoire's emerging specialty movement is particularly instructive in this regard. It is exemplified by a new wave of vertically integrated ventures that process and roast coffee locally, capturing margin domestically rather than exporting only raw green beans for others to roast, brand and sell at multiples of the farm-gate price.

This trajectory closely parallels the value-capture ambitions this report sets out for Indian coffee the same underlying logic of moving from raw commodity exporter to recognised, value-added origin applies to both countries, even as their specific crops, geographies and institutional starting points differ.

Trade Opportunities

Several concrete trade opportunities exist between the two countries. India could import Ivorian Robusta as a complementary input for its own large and globally competitive instant-coffee manufacturing sector, in which Indian companies including some of the world's largest private-label instant coffee producers are already major global players with substantial processing capacity that could absorb additional, diversified Robusta supply. Beyond raw material trade, there is scope to explore joint ventures in processing technology, agronomy advisory services, and quality-certification systems, all areas in which Indian firms have developed considerable expertise serving their own large smallholder coffee base and which could, with appropriate adaptation, be transferred or licensed for use under West African growing conditions.

Lessons for Indian Stakeholders

Côte d'Ivoire's recent history offers a cautionary but also constructive lesson for Indian stakeholders. Its decline from a leading global coffee power to a much-diminished exporter underscores the real, long-term risks of remaining a low-value raw-commodity exporter dependent on volume rather than differentiation, particularly in a global market where lower-cost origins can rapidly erode market share. At the same time, the country's current pivot toward vertical integration, deliberate domestic consumption development, and quality-focused repositioning of its national coffee brand illustrates the kind of payoff available to origin countries willing to make that structural shift. These lessons directly reinforce several of this report's core recommendations for India's own coffee sector, particularly around the importance of domestic value capture, specialty-market development, and not allowing production strength alone to substitute for a genuine branding and processing strategy.

Potential Partnerships with Indian Companies

A range of Indian companies and institutions are natural partners for Côte d'Ivoire's modernisation effort. Indian coffee processing and equipment manufacturers, agronomy service providers with deep experience serving smallholder growers, and certification and traceability technology developers are all well positioned to support Ivorian producers and government agencies seeking to modernise their sector along lines India has already navigated domestically. In the other direction, Indian roasters and instant-coffee manufacturers may find in Côte d'Ivoire a stable, diversified Robusta sourcing partner, reducing reliance on any single origin and providing a hedge against production or price shocks elsewhere in their supply chains.

How CCI India Can Facilitate Bilateral Collaboration

Business Delegations: CCI India can organise reciprocal delegations of Indian and Ivorian coffee-sector stakeholders growers, processors, roasters, exporters and policymakers to meet directly, exchange experience, and identify concrete, actionable partnership opportunities on both sides.

Joint Ventures: CCI India can help structure and broker joint ventures between Indian processing and technology firms and Ivorian producer organisations or the Coffee-Cocoa Council itself, providing the institutional facilitation that individual companies often lack the resources to arrange independently.

Buyer–Seller Platforms: a dedicated India–Côte d'Ivoire coffee trade platform can be established to connect Ivorian exporters directly with Indian instant-coffee manufacturers and roasters, reducing reliance on intermediaries and improving price transparency and realisation for both sides of the relationship.

Knowledge Exchange: structured, ongoing exchange programmes can share India's considerable experience in smallholder FPO development, quality certification and agri-tech-based extension services with Ivorian counterparts, while India, in turn, can draw useful lessons from Côte d'Ivoire's recent vertical-integration and specialty-repositioning initiatives as it pursues similar ambitions for its own coffee sector.

Conclusion

India's plantation economy tea and coffee together remains one of the country's most significant, if under-leveraged, national assets. India is the world's second-largest tea producer and a globally respected shade-grown coffee origin, and together the two sectors formally employ millions of workers across some of the country's most remote, hilly and ecologically sensitive regions, from Assam and Darjeeling to Coorg, Chikmagalur, Wayanad and the tribal highlands of Araku Valley. Both carry origin brands recognised the world over, built on generations of cultivation knowledge, distinctive terroir, and, in cases like Araku, a genuinely transformative model of tribal livelihood development. Yet both sectors also share the same underlying strain: ageing bushes and trees, thinning margins, climate-driven yield volatility, persistent labour shortages, rising input costs, and a commodity-first trade structure that consistently under-realises the value their provenance should command in global markets.

The path forward for both crops runs through a strikingly similar set of coordinated levers productivity and quality gains at the farm and factory level; fair wages, safety and welfare for a workforce that leans heavily on women; consistent GI enforcement that converts decades of heritage into genuine, durable pricing power rather than marketing folklore; stronger Farmer Producer Organisations and shared processing infrastructure for the small growers who now dominate both sectors; and a deliberate shift toward domestic roasting, branding, plantation tourism and specialty positioning rather than continued dependence on raw commodity export. Côte d'Ivoire's own trajectory a smallholder-dominated, Robusta-centric coffee economy now actively pursuing vertical integration, domestic consumption growth and specialty repositioning offers both a useful external mirror for India's own ambitions and a concrete partnership opportunity in processing technology, agronomy services and certification systems.

Positioned alongside the Tea Board and Coffee Board rather than in their place, CCI India is well suited to supply the private capital, market-facing initiatives, and cross-sector coordination that neither statutory body is resourced to deliver on its own helping India complete a transition few origin countries manage: from a reliable supplier of raw volume to a recognised, well-compensated, value-capturing origin in both tea and coffee.

EVERY LEAF, EVERY BEAN, EVERY OPPORTUNITY.

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